

banking system of the bank and ensure that services are up round the clock all day, all year long.

Banking's real push to reach out and become more customer-friendly was brought about by private sector banks, who started by targeting customers who maintained larger bank balances, and then progressed to reaching out to large numbers of urban customers.

All banks are moving towards setting up core systems that will integrate their retail and corporate banking operations, and all associated services. Nationalised banks are also computerising and consolidating their operations, and offering customers the same levels of service that private banks offer.

The bottomline—the only way to retain your customer is to give them quality services. Consolidating all their operations around the core banking system has meant that banks can now offer universal access to funds and other banking services around the clock from anywhere across the globe.

You can access your account using an ATM machine, the Internet, a phone, and effectively, bank without walking into your bank. How do customers find this? Exciting at the very least...

Anytime money

Bankers agree that ATMs are fast becoming the main point for customers interaction. A senior SBI official pointed out that in certain branches, the load on the staff has come down by almost 70 per cent. This is a phenomenon that's been happening across banks.

Private sector banks also see their customers interacting through the ATM. Today, ATMs offer you several services besides cash withdrawals. Services that Krishnan Raghavan, a software developer in Mumbai, prefers to utilise often. "I really like the idea of ATMs," he says, and points out that most of his primary interactions with the bank take place through the ATM. He's been banking with ICICI for several years now and has absolutely no complaints on any front. He withdraws and deposits cash and cheques, monitors his balance, and routinely takes bank statements, all over the ATM.

Ask him about any additional services he would like to see, and he says he thinks the tie-up of VSNL with ICICI, allowing the bank's customers to debit their accounts directly to pay for their ISP accounts, is pretty cool. He goes on to say, "I'd be using this service when I run out of access time on my VSNL account. All I



V CHANDRASEKHAR

Chief Technology Officer,
Bank of Baroda

Blind computerisation doesn't help; there has to be a **carefully charted out business strategy** to provide **improved services to customers**

Core Banking for The Public Sector and Private Sector

Private banks such as HDFC Bank have started off by computerising all their branches and networking them to the core banking system. So, you can walk into any branch and get your work done. Most PSU banks have gone in for computerisation at the branch level, and have only now got down to networking individual branches and setting up core banking systems.

At Bank of Baroda, for instance, even as the core banking system is being set up, the individual networked banks work on a

smart solution.

During banking hours, the customer communicates with the branch for any ATM, Internet or phone banking transactions. At the end of banking hours, all this data is uploaded to a central database, after which, till the start of the next business day, the customer conducts transactions with the central database.

As the banks open the following day, all this data is transferred back to the individual branches, which then update their records.

have to do is go there and get the amount debited, and then use the serial number on the generated receipt to update the account. Simple."

Customer concerns

Customers do have their grouses though. One of them is the ATM network. While ICICI customers such as Raghavan are satisfied with the ATM network, Citibank customer, Yudhisthir Chede, isn't too pleased with the Citibank ATM network. "There's one located near IIT Bombay and the others are quite a distance away". Banks are listening to customers like him; Citibank, for instance, lets customers conduct transactions a limited number of times from other ATMs free of charge. HDFC has over

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